COURSE

## OCR A Level Business (H431)

# Cash flow

**Accounting and finance · Management accounting: Cash-flow**

Revision for Accounting and finance: each firm works it out on its own deals.

Class **OCR A Level Business (H431 / H436)** Topic **Cash flow**

THE LESSON

| | |
|---|---|
| **Setup** | 3 min |

**Round 1** — Decisions 3 min · Deals 5 min · Topic tasks 4 min

| | | | |
|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 1 **Net cash flow today** | TASK 2 **Why cash is short** |

**Round 2** — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

| | | | | |
|---|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 3 **Cash timing order** | TASK 4 **Month-end balance** | **B2B deal** |

**Round 3** — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

| | | | | |
|---|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 5 **Factor or overdraft** | TASK 6 **Bank covers the gap** | **B2B deal** |

| | |
|---|---|
| **Final questions** | 3 min |

Fits a 30-minute lesson setting; longer settings add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** FROM ROUND 2 | Buy property or funds. The value can rise or fall. |
| **Operations** | **Seasonal stock** | Order the season's cars in advance. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

They pay a deposit today.

**Net cash flow today? Money out is minus.**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| You buy them today | **£34,400** |
| Customer's price | **£39,700** |
| Customer pays today | **10%** |

METHOD

**Net cash flow = % paid today × price − you buy them**

10% × £39,700 = £3,970; £3,970 − £34,400 = −£30,430

**Why:** The deposit covers only £3,970 of the £34,400 you pay today.

## Task 2

ROUND 1

Profit is high, but the bank says you are over your overdraft limit.

**Which two best explain the cash shortage?**

PICK TWO

- ✔ **Customers are slow to pay**
- ○ Gross profit margin has fallen
- ○ More buyers pay by card
- ○ Suppliers give 60 days to pay
- ✔ **Too much cash tied up in stock**

**Why:** Slow payers and stock hold cash back; card sales and supplier credit help.

## Task 3

ROUND 2

Cars wait 20 days before sale. Supplier paid 30 days after delivery; customer 60 days after sale.

**Put these in time order, first to last?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **The cars arrive**
2. **The cars are sold**
3. **You pay the supplier**
4. **The customer pays you**

**Why:** Day 0 arrive, day 20 sold, day 30 supplier paid, day 80 paid: a 50-day gap.

## Task 4

ROUND 2

They pay half in month 2.

**Balance at the end of month 2?**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| Set aside for this deal | **£15,900** |
| Month 1: you buy the cars | **£51,150** |
| Running costs, each month | **£780** |
| Customer's price | **£62,000** |

METHOD

**Balance = set aside – you buy the cars – 2 × running costs + half the price**

£15,900 − £51,150 − 2 × £780 + £31,000 = −£5,810

**Why:** Month 2 is still short: the other half comes in month 3.

## Task 5

ROUND 3

A customer owes you £40,000 in 60 days. A factor pays you now for 4%; an overdraft costs 12% a year.

**Which is cheaper, and why?**

PICK A OR B AND GIVE A REASON

- ○ The factor
- ✔ **The overdraft**

**Why:** 4% of £40,000 is £1,600; 12% a year for 60 of 365 days is about £790.

## Task 6

ROUND 3

The bank covers the gap.

**Balance at the end of month 2?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Set aside for this deal | **£16,400** |
| Month 1: you buy the cars | **£42,000** |
| Charge on month 1 overdraft | **2%** |
| Month 2: customer pays | **£52,050** |

METHOD

**Balance = set aside − cars − overdraft charge + customer pays**

Month 1: −£25,600; charge 2% × £25,600 = £512; −£25,600 − £512 + £52,050 = £25,938

**Why:** Waiting for the customer cost £512 in bank charges.

# Final questions

**6**
questions for each pupil

**109**
Level 3 Business questions

**8**
of them on cash flow

**The game draws 6 of the 109 Level 3 questions; these 8 are about cash flow.**

1 A dealership expects £180,000 cash inflows, £215,000 cash outflows and an opening cash balance of £50,000 next month. What is the forecast closing cash balance?
**£15,000.**

2 A dealership starts April with £28,000 cash, expects £92,000 of cash receipts and £108,000 of cash payments. What closing balance should its forecast show?
**£12,000.**

3 A dealer buys £70,000 of stock on 30-day trade credit and sells it for cash after 12 days. What is the main short-term cash-flow benefit?
**Cash is received before the supplier payment falls due.**

4 A workshop forecasts opening cash of £22,000, receipts of £64,000 and unavoidable payments of £91,000 this week. What is the forecast cash shortfall?
**£5,000.**

5 A flood destroys uninsured stock while supplier invoices remain due. Which statement best explains the immediate finance problem?
**The stock is lost, but the debt remains.**

6 A dealer starts a campaign month with £40,000 cash, expects £85,000 receipts and £96,000 operating payments, plus £18,000 campaign spend. What is forecast closing cash?
**£11,000.**

7 The CFO forecasts opening cash of £65,000, receipts of £140,000, supplier payments of £118,000 and payroll of £52,000. What is closing cash?
**£35,000.**

# Final questions

8 A dealer opens the month with £52,000, expects receipts of £88,000 and payments of £119,000. What is the closing balance?

**£21,000.**